EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Gonzaga for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs) and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	703,420,002.05	659,664,969.35	43,755,032.70
Liabilities	117,561,250.15	115,353,922.04	2,207,328.11
Government Equity	585,858,751.90	544,311,047.31	41,547,704.59
Financial Performance			
Income	315,854,775.67	300,720,731.61	15,134,044.06
Expense	275,147,690.80	334,888,110.30	(59,740,419.50)
Net Income	40,707,084.87	(34,167,378.69)	74,874.463.56

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of 3-Storey Public Market Building, Phase VII	P 7,996,917.43
Concreting of Baua-Cabiraoan Barangay Road	6,997,952.63
Construction of 6th Cell Sanitary Landfill (SLF) at Pateng	4,998,063.50
Expansion of Health Center at Municipal Compound	4,995,000.00
Concreting of Gaspar-Sablay Road (121.50 ln.m.)	4,705,738.00
Installation of Streetlights along National Road (Cab. Sur, Pateng, Calayan & Baua)	2,997,927.18
Concreting of Sitio San Francisco Barangay Road at Ipil	2,997,927.10
Concreting of FMR/Barangay Road at Minanga	2,498,480.95
Concreting of Barangay Road at Isca	2,498,327.63
Improvement of Water System at Pateng	2,495,247.46
Construction of Youth Development Center, Phase II at the Municipal Compound	1,997,800.94
Construction of Municipal Youth Development Center, Phase I at Municipal Compound	1,997,381.71
Expansion of Municipal Health Center, Phase II at Municipal Compound	1,994,604.08
Concreting of Barangay Road at Sitio Laoc	1,498,695.13
Installation of Streetlights at Rumang-ay Compound	1,397,527.89
Construction of Drainage Canal at Progressive, Gonzaga	1,249,680.68
Total	**P 53,317,272.31**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2024 because the reported balance of Property, Plant and Equipment account appearing in the financial statements totaling P414,226,688.98 as at December 31, 2024, cannot be relied upon due to: a) the existence of an unreconciled difference amounting to P607,837,975.09 between the Report on Physical Count of Property, Plant and Equipment and the accounting reports; b) non-maintenance of Property Cards; and c) incomplete conduct of one-time cleansing procedures in its physical inventory.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Unexpended LDRRM Fund totaling P18,099,065.72, recorded in the Trust

Liability-DRRMF, was not incorporated in the Local Disaster Risk Reduction Management Investment Plan for CY 2024 and in the revised Annual Investment Program, hence affecting the regularity of the expenditures.

We recommended that the Management prepare a revised Annual Investment Plan incorporating the utilization of the prior years' unexpended LDRRMF and specifying the list of PPAs to be charged against the fund prior to the utilization of the same in compliance with COA Circular No. 2012-002 and NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-01 to avoid suspensions or disallowances in audit.

2. Appropriation under the 20% Development Fund includes a lumpsum or generic term of projects amounting to P10,500,000.00 without specific/itemized details.

   We recommended that the Management, thru the Local Chief Executive, undertake the following courses of action:

   A. Require the Municipal Development Council to specify the details of the identified priority projects to be charged under the 20% Development Fund, including project location, specific implementation schedule, and physical target to avoid generic or lumpsum projects; and

   B. Stop the practice of implementing generic or lumpsum projects without further authority from the Sanggunian to avoid suspension/disallowance in audit.

3. Procurement of petroleum fuel, oil and lubricants totaling P11,263,930.60 were not included in the Annual Procurement Plan for CY 2024 of the LGU, and were paid to a single supplier without any contract, hence, there is no legally binding obligation between the LGU and the Supplier as the terms and conditions to be undertaken by both parties are not well defined.

   We recommended that the Management follow the specific guidelines provided for Direct Retail Purchase of petroleum fuels, oils and lubricants in Section 53.14 and Annex H of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, specifically the inclusion of estimate POL products in the Annual Procurement Plan and execution of contract/agreement between the Municipality and the supplier to warrant any damage/loss.

F. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-		-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Disallowances	-				
Prior Years	1,819,251.46	-	-	1,819,251.46	-
Current Year	-	-	-	-	-
Total	**1,819,251.46**	**-**	**-**	**1,819,251.46**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	2,419,000.00	-	2,419,000.00	-
Total	-	**2,419,000.00**	-	**2,419,000.00**	-

G. Status of Implementation of Prior Year's Audit Recommendations

Out of the six (6) audit recommendations in the CY 2023 Annual Audit Report, three (3) were implemented, two (2) were partially implemented, and one (1) was not implemented.